

official price was an artificial reference point that had nothing to do with the actual price. At the actual price, then \$350 an ounce, the gold was worth \$1.2 trillion. One quarter of all the gold stored in the free world was stacked like cordwood in these bins.

Apparently, each separate bin belonged to one of 86 different countries that used the Fed as their safe-deposit box. Some moved their gold here during World War I, others during various uprisings and revolutions. The guide wouldn't tell us which bin belonged to which country.

When one country owed money to another, they paid it back as follows: Three people unlocked the bin, an auditor slit the seal, and a number of bars equal to the amount of the debt was removed from the stack. Then the bars were weighed on a giant scale, lugged to the bin of the creditor nation, and added to its stack. All locks were relocked, seals resealed, and the debt was paid.

This method of settling accounts was very arduous, and the gold movers used dollies and pulley systems to aid their efforts. They also wore special shoes and slick coveralls so tiny gold particles wouldn't stick to their clothing. Otherwise, they'd have made a small fortune panning for gold dust in their washing machines at home.

The elevators returned us above ground, to the upper stories of the Fed where the checks are cleared. Did you ever wonder what happens to a check after you write it or deposit it? Chances are it takes a two- or three-day trip and passes through one of the Feds, or a similar clearing house. At the New York Fed, hundreds of bags had arrived downstairs, containing millions of checks to be processed that night. Each bag was hustled up to the counting rooms, where the checks were removed, then sorted one-by-one through the high-speed machines that read the electronic codes. After the counting and sorting, they're bundled up and returned to the local banks where they started out in the first place, which is how we get them back at the end of the month.

Meanwhile, each local bank keeps an account, called a reserve account, at the nearest Fed. These reserve accounts are used to settle all the debits and credits from all the checks that are cashed and deposited across the country. If more money leaves your local bank via check than comes in on a given day, your bank owes